Why Doesn't This Market Care?

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode explores the growing divergence between fundamental economic indicators and market valuations, driven by structural shifts in liquidity, passive investing, and corporate finance. The hosts argue that modern markets—exemplified by Apple's $5 trillion valuation at 41x earnings—are increasingly dictated by supply-and-demand dynamics (such as massive share buybacks and 401k inflows) rather than traditional valuation metrics. This environment, characterized by "permanent liquidity" and off-balance-sheet corporate financing, creates significant pricing anomalies, distorts competition between small and large businesses, and threatens long-term economic stability by decoupling capital growth from labor productivity.

2. Key Arguments & Data * Market Performance & Sector Volatility: * Indices: The S&P 500 remained flat, while the Cues (small caps) saw a significant decline of 1.12%. * **Technology/Semiconductors:** A major drag on the market was seen in the memory and chip sectors; DRAM fell by nearly 9%, and semiconductors dropped approximately 3%. able **Commodities:** Oil decreased by 3% (returning to the $89 range contextually), though it remains down roughly 48% from April highs. Gold and silver trended upward. * **The Apple Valuation Anomaly:** * Apple has reached a $5 trillion market cap, trading at an unprecedented 12x sales and approximately 41x earnings. * The hosts argue this valuation is unsustainable from a fundamental standpoint (given low double-digit margins and single-digit revenue growth) but is sustained by "the drug" of massive share buybacks and the relentless inflow of passive investment/401k funds. * **Structural Shifts in Corporate Finance: * Off-Balance Sheet Risk:** Large "hyperscalers" (e.g., Meta, Amazon) are increasingly using Special Purpose Vehicles (SPVs) to finance massive infrastructure like data centers. This allows them to keep debt off their primary balance sheets, increasing market opacity while accessing high-yield (7.5%) financing through partnerships with firms like BlackRock or Blackstone. * **Capital Allocation Critique:** The hosts criticize the "stupid use of capital" where mega-cap companies buy back stock at 41x earnings rather than investing in innovation or high-yield short-term instruments like

T-bills. * **Policy & Economic Distortions: * Liquidity Policy:** Post-GFC (Global Financial Crisis) policy has effectively eliminated "left-tail" extreme drawdowns by maintaining high liquidity, which prevents the "cleansing" effect of market cycles and bankruptcies from refreshing capitalism. * **Taxation and Monopolization:** Using Washington State's tax code as a microcosm, the hosts argue that modern tax legislation inadvertently favors large C-Corporations over small S-Corps. High effective tax rates on pass-through entities create an incentive for small businesses to be absorbed by monopolies, ultimately reducing competition and wage growth. * **Labor vs. Capital:** There is a widening gap between rising corporate profits and stagnant labor compensation, which the hosts suggest is politically unsustainable and damaging to the social fabric.

3. Actionable Takeaways * Monitor Earnings Season: Investors should closely watch the upcoming earnings roll-in to see if fundamental performance can justify current valuations or if the "valuation gap" begins to close. * **Rebalance Energy Positions:** Given that oil is down significantly from April highs and spreads are widening, investors in the energy sector should consider taking profits on existing positions, while looking for value in relatively cheap Exploration & Production (E&P) plays. * **Assess Hidden Leverage:** When evaluating "hyperscaler" stocks (Meta, Amazon), look beyond the primary balance sheet to investigate SPVs and lease agreements that may hide significant interest expenses or long-term liabilities. * **Watch Macro Indicators of Instability:** Keep an eye on the divergence between high stock valuations and increasing cultural/economic angst (wealth disparity), as these are leading indicators of potential policy shifts or market corrections.

Full Transcript

They don't care. They also have no understanding of what they're actually buying and what prices they're paying for it. That is ludicrous. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself. Mr. Chase Taylor Yeah, that was a There's weeks where nothing happens and then there's a week like that Not everything happened, but certainly was not your typical late July late summer boring week That is for sure. So again Probably about 14 different vectors you could attack this day. So why don't we go with the rundown? We'll start with that. We'll start there and work our way out. Yes S&P was flat Equate was up 0.8 though on the flip side the cues were down 1.12 and if you pull that chart up, it is not pretty. It's starting to look pretty ugly small caps are down 0.3 Max seven was down a tiny bit All World X us is down 0.2 dollar was pretty flat As far as the mag seven stuff goes you had Apple up another three and a half Tesla down another two other than that. Nothing was Any any big movement really to your yield down one basis point about the same for the whole curve Oil down 3% you're back to 89 The December contract was at about 1% the December 27 contract for some reason was up most interesting, but Gold up half percent silver up one and a half gold miners pretty flat mixed on the rest of the metals and You're actually down a smidge on on front of all DRAM down another almost 9% and that's the reason the cues Didn't have a good time and you had semiconductors Down about down three and change so chips and memory bad day lots of other

things pretty decent day Do you know that Apple is now a 5 trillion company with low double-digit margins trading at 12 times sales? 12 times sales. 12 times sales for 13% net margins and high to mid-single-digit revenue growth. This year's looking a little bit saucier, but it's, you know, buybacks are hell of a drug, I guess. But I mean, it's not even, I mean, even that.

You're still at it. I mean, even with that said, your people are lined up to pay 12 times revenue for that. Well, people's 401ks maybe. There's so many pricing anomalies in this market, not like, you know, not where you're, it's like hilarity and you're, oh, the collapse is not saying that, but who in the hell would own that or a Costco with those prices? Everyone's 401k. It's just absurd. Yeah. Like it is it's not even investing. I like I mean that might be a little bit too extreme But you're paying 12 times revenue. I think it goes to a bigger point that we haven't really talked about much but if the hyperscalers keep pulling themselves down Things that don't pull themselves down are gonna get just a bigger slice of the passive pie and they could go They could squeeze to levels and are really wild Well, I mean, you've got, you've got, you've got Apple pressing 41 times earnings. And that could be just the beginning of revenue. Yeah. If the rest of the hyperscalers keep offing themselves through issuing stocks and bonds and Apple doesn't, that's just that much more passive flow for them. Yeah. I mean, they, I mean, because it's, it's, it's, it's, it's really important, but it's not, it won't, it won't, it won't defeat you selling 80.

billion of stock and 80 billion of bonds every few quarters, you know? No. Yeah. I mean, yeah, because you're just splashing, I mean, you're splashing the pot. I mean, even the sponge that is passive investing can't clean out that much. Exactly. No, it's just crazy. If you look around this market, you see how many things are priced at levels that make absolutely no sense, right? It's not like a SpaceX or something like that where you're sitting there going, but with as many people that follow that company, and that know the results and nobody's worried about owning that bloated pig at 12 times revenue. Right. It's not some software company growing at 80% or something. No, I would just tell people, people that aren't familiar with Microsoft who was putting up numbers that make those look like a joke.

That's a great recipe to go sideways in the stock for 10 to 12 years. Yeah, 100%. Yeah. But yet it doesn't... We're up a bunch because of...

Yeah. I mean, you're up again today, three and a half percent. And, and you're probably just getting CTAs chasing it now because it's broken out to new highs on this tape. Yeah. I, it's gotten to the point where I need to go look into it to see what, what the fundamental story is becoming other than the little bit of stuff we've talked about. Yeah. I have, it's funny to say that, man, because obviously I'm not a fan of their management. I'm not a fan of anything that company does. And I haven't been a fan of it for a long time. And it's not a. You know, it's not a moral hatred. It's just I I just I know I despise company I just despise Watching what they've become right? We're all their effort to to be innovative has gone to being to trapping you on a platform It just it just grosses me out bums me out. I just I think it sucks. Um That being said, one of the things I thought, too, when you look at that breakout, it's acting like a stock that's got some great announcement underneath the surface brewing and that there's something coming around. Because if there's not, that's how strange this move is. I just can't imagine wanting to own that thing and not at that. Now, if you know the history of that stock, And it's trading off some bad news and some bad numbers, maybe even a bad cue, and it's bumping around at 16 to 18 times earnings. I get it. And A, that's a lot cheaper, right? But B, if you look at historically of that stock, you know, if you bought Apple every time it got below 18 times earnings over the last 15 years, you knocked it out of the park, right? Just that was the lower end of the range. But you're not. Now you're at 41. That's when it's breaking out to a new all-time high and a fresh new high valuation.

I don't know. I thought the same thing. I want to look into it. I think there's about nine curmudgens left in the world that care about valuations. And then there's obviously your 401k doesn't care. Retail doesn't care. Pod shops don't care. The amount of people that don't care are significant. I don't think anybody, but 12 times doesn't care. Like people they don't care. They also have no understanding of what they're actually buying and what prices they're paying for it. That is ludicrous. That is ludicrous. Yeah, obviously I don't disagree. I mean, that's the kind of valuation. Especially for a

company that big. Oh my god, that's the kind of valuation you win sat when they're growing revenue at 40%.

Percent a year with 30 to 35 percent net margins. Yeah, because if they slow to 38% growth is going to get smacked. Yeah. Well, that's a lesser apple. Well, that's a good thing. Hey, on the bullish side, if you are an apple shareholder, you're not worried about them slowing to 38% growth. And you're not, and you're not worried about them issuing a bunch of stock, right? They're going to be buying it back. And I think this, this, this show is like that. That supply and demand of stock is a bigger fundamental than people realize. There's another thing while I was just sitting there in the lampoon that you want to talk about the stupidest use of capital I have ever heard. You're buying back stock at 41 times earnings on a 5 trillion company that can't be out of... Oh, I'd much rather you stuff that into T-bills. Well, the flip side is people go, well, Zach, what do you want them to do? You don't want them to put money into innovation because every time they do that, they just torch it, right?

So, but go buy some innovation. I don't know. I don't care. Yeah. Right. Right. Right. You're buying back stock at that level. I don't get, you know, I don't get how these board meetings work. They don't. But like, but think about the people sitting around the board meeting. They're talking about capital allocation at an Apple meeting and they all sign off on more stock buybacks. Like, again, I'm not making any, but I cannot imagine being in this business or whatever. I cannot imagine sitting on a board like that of a company and having that come up and being like, yeah, that's a good use of capital. You know what I mean? It's like, I'm not saying it's a reason to like, you know, I mean, there's way worse corporate mistakes, right? Like I'm not saying that they're Enron or it's something, you know, horrific. If you're optimized for the stock price.

I could make an argument if you really want to optimize for the stock price, you're not going to trade at 41 times earnings forever. And like you said, no, not with that. No, but like you said, build up a pile of treasuries, correct, collect some interest. And when the available pullback or draw in on valuations, some quaint quake where you get new for no good reason, then, you know, whatever. Yeah, get in there and buy with both hands. I just

that's, you know, but that's this has been going on for a really long time. And there's something you said just a few minutes ago that's really apt. Those things have not mattered for a really long time. So in that way, who's the idiot? It's me standing on the front yard, you know? Well, don't these kids care about... This is where like the supply and demand part, to me, is of an important filter. Like, obviously SpaceX's valuation is dumb. But if SpaceX didn't have this crazy supply cliff, I wouldn't really care and I wouldn't be interested in it going down.

But I am because of that supply and demand dynamic. Same with all these hyperscalers now, with all the paper they're printing. If it wasn't for that, I would have no interest in thinking they're going down. Well, you bring up an interesting point, and it's something that we've talked around a lot. It's something that I've spent a lot of time thinking about because I think it's had tremendous implications in ones that I don't think yet are fully understood, may never be fully understood. But when you take a market like ours, the US equity market, and all of a sudden, there's a substantive change in that market from any other, from its beginnings. Meaning, for the most part, liquidity was a market function. Right? Meaning, during good periods of times when things were working in your favor, liquidity was good. When it wasn't, it wasn't. You had to know that.

You know, you had to work with it, all that kind of stuff. People are like, oh, same way it is today. Well, yeah, to a smaller degree. But you've also made a policy decision post the GFC that we've decided that boom type bubble like liquidity environments are appropriate all the time, right? And that we've decided that having massive amounts of liquidity on hand at all times is the hallmark of a good market. I would tend to say that I think having liquidity move back and forth on its own is probably better for a market rather than targeting. I've just always been like, well, we don't have enough liquidity. And you go, how do you know? What does that mean? That means because something's trading at 40 times revenue, it just dropped to 30. That's not a sign that you have not enough liquidity to me. Now, I guess you could say it could be.

But in an environment like that where you no longer have to worry about 85% drawdowns, right? Let's face it, that ain't gonna happen. We decided a

long time ago that was politically unfeasible, right? And you've decided that boomtown and bubble-like liquidity environments are good for every Monday through Friday. In that environment, you would expect supply and demand to play a much larger role as it comes to pricing securities in that market. then it did previously compared to fundamental numbers. You know what I'm saying? Because one of the reasons you're afraid of owning something that's too overwrought or too overpriced or way over extended is because when that inevitable liquidity blink happens or that inevitable little market thing happens, right? People are going to find liquidity and they're usually going to get it from selling stuff like that. You get smoked. You know what I mean? Where is it you have? Make their own liquidity. Right. Make their own liquidity.

But whereas if you have something really big, something really fundamental, something with a fortress balance sheet that's paying a 2.5%, 3% dividend that's 40% more than what you're getting out of the S&P 500 and things like that, right? That's a valuable thing because it can survive those market tumults and those market storms. But when you've decided on a policy case, and I've thought about this for a long time, I know that that That that aspect that I'm discussing right here as much as a fundamental guy like me hates to admit it. It does justify higher stock prices Yeah, I mean when the left tail smaller, you know It leads to stuff like this. Yeah, I mean it's international like with the with the capital flows coming from abroad because they recognize it like Same kind of vibe for them of left less less downside than they might have at home. So I think I think we could probably agree if I think back to the Thomas Jefferson quote of, you know, that you need the blood of tyrants and patriots from time to time to refresh the Tree of Liberty. I think you kind of need the blood of liquidity events and bankruptcy and cycles to kind of refresh capitalism. And we don't have a lot of any of that anymore. We get like a liquidity event every few years, but like, not cycles anymore.

One of the things I love about markets is I think there's such great mirrors into human behavior and human psychology and all that kind of stuff, right? Isn't it interesting in a period of time where the longest bull market in the US history, highest stock valuations in history, biggest winners, all this kind of stuff, longest period of time without recessions, right? So if you're on the

outside looking in, you'd sit there and go, That was the most saying that that was the most beautiful You know clear sunset sanguine cruise that economy ever took and yet then you look under the surface Then there's the most amount of cultural angst right the greatest wealth disparity Right. They're all go hand-in-hand. Yeah, which is which is really interesting with which which goes to point out one of those interesting things of human dynamics is that when Things that we as human beings decide are good go on too long, they have deleterious impacts as well. Even culturally. It is too good. Yeah. All right. Jillian Tett had a piece in the FT today about talking about candy floss and comparing it to like our, the economy, basically the, and talking about the ratio of financial assets to real assets and how like that has just really gotten skewed. We're in the US. We have way more financial assets compared to real assets than we used to have.

And I think that is a good example of most of the world doesn't save in stocks, right? But we do. Um, well, you know, the top 20% do at least a lot of people don't. And, and, you know, our answer to that is like, well, let's give poor people some stocks. Like, you know, and I'm not even saying that's bad. Like I know, I know, I actually view Trump accounts as like, as not a bad idea. I think the intent there is really good. Hey, we've done a hell of a lot worse things with it. For sure. And then the fact of the private sector, people like Michael Dale jumped in and donated billions of dollars. Like, that is some, some no bless oblige that I appreciate. So, but we're already talking about giving it to adults and stuff. So like our, it's just like, we became a hammer of stock market and everything's a nail that we just hit with the stock market. And that's where you go from this capital allocation, you know, precise machine that has an insane like use case value of of making sure money goes where it should go for lots of reasons to like just You know a fire hose that we can point at whatever you want to fix any problem And one and one and one of the other things to we have and this is not a political statement at all It's probably one of those where everybody's like duh Right, but being involved in this tax fight here in the state of Washington is it's taught me a lot And one of the things that it's taught me is that there are so many issues underneath the surface that even people that would consider themselves and are considered by others to be well informed don't really understand. The opinions expressed in this program are for general informational purposes only and are not intended to provide

specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. And here's a perfect Perfect anecdote anecdote here in the state. We're a very blue dominated state politically, right? But I guarantee you if I brought in the vast majority of even those the furthest on the left and asked them What are your feelings toward multinational or you know or or National book companies C Corpse the big companies do you want legislation that favors them or small family-owned businesses?

and I would believe all virtually all 90 10 100% probably not even a 10% probably be 100% right and I would believe that 98% of them were telling the truth right but here's the reality so using the tech and this is just a microcosm these kinds of things are set up all over the you know but we're not the only ones that have the same tax code so but there's the there's issues like this Inadvertently, I was trying to explain this somebody the other day, I go, okay, you realize the income tax that you're trying to pass goes against IRS rights stated, you know, what is it? You're a gross taxable income, right? Isn't that GTI, gross taxable income? Is that what it is? It's close to that, but I can't remember it now. Right. So by definition, it is a tax that will have very, very little impact on C-Corps and their employees, right?

You have a few C Corp employees that net out over a million over the course of the year. Most people that make over a million make it via stock options. You and I have talked about this before. It's on a vesting table. So they won't, right? So now you've got a situation where like a small company like ours, Bulwark, right? You and I both work for it. We're competing against Schwab, Fisher Investments, something like that, right? If this income tax stands, Bulwark's effective tax rate next year, which is just mine, passes through to me, it'd be 56%. Meanwhile, you look at Schwab and Fisher, they're paying 22, right? So then you go, now, I'm not sitting there saying people are gonna be like, well, that's core, I know all the reasons. S corp, what I'm saying is, look at the underlying incentive. Now, at the same time, when that structure exists like that, right, you just increased the income tax or the benefit that I get is being the owner of bulwark, right?

So that penalty is also 56% on me as well. So you're looking at this scenario where you're going, wait a second, I'm competing against guys who have a third my tax rate, all right? With no hope of ever paying that same tax rate, right? Whereas I could turn around and sell it to those guys, pay a cap gains hit on the cost, which is less than half of what I'm paying in income tax, not have to worry about regulatory threats, state audits, at CC, any of that kind of stuff. And I'll never pay income tax again. I'll just live off. I'll do asset back loans. You're begging to monopolize all the Gopalize small business in a way. And you start looking at the structures of the economy and you go, you know, I think one of the best books written on it was Jonathan Tepper that we had on here, Myth of Capitalism. That thing has turned out to be prophetic. Oh, and the number one thing, the correlation, which made all the sense in the world was the less players in the industry, the less competitive the wage environment is. Another thing you look at, you just made it disproportionately, just gave a disproportionate advantage to a C corp, right? Do you know what percentages of profits get to employees on the bottom line at S corps versus C corp? I mean, there's no data that backs up this having C corp swallowing everything up is good for anybody. As a matter of fact, we got mountains of data that says it's the opposite.

Yet these people get caught up in these, in these cause day celebs of we got a tax rich people, they got to pay their fair share. And you go, listen, I think we all need to pay our share. There's no question about that. But you're not paying attention to what you're actually doing here. Right. So Paul Craig just did a interview on the market. And at the end, you talked about why tax people and corporations the same, like, and he's probably, he's probably Close enough to that simple. Yeah. One of the other tough things about it though is that you don't set international corporate tax rates, right? So one of the things I've always been some movement to flatten it a little bit. Yeah. One of the things I've always been sympathetic is we can all think that corporations aren't paying enough here. But if all of a sudden we raise them to a rate that we think is that makes sense. There's a reason Ireland's been in boom towns for the last decade, right? Right. Right. And so and if you.

We just have to be and this is why I get so fed up with so much of the political discourse I know you can agree with me just we're talking about things We're talking about modern problems that we've never we've never

tackled in this economy before and yet we just keep pulling out tools that we've used for the last 250 years For modern problems where they just they're not applicable. Yep. No, no We're going to we're going to reshoot horses and we're bringing bringing gun cleaning kits, you know It's again, it's not meant to be like I said, I don't I don't think the vast majority of these people even understand that that's what they're doing I don't think they understand that that's what's happening and to the point we're making and the point we were making before that like The reason the mark well one of the reasons the markets doing really well other than the flows and all the stuff we talked about the structural stuff is the profits are really really high But if profits and in the corporate world are really really high and they keep getting higher and higher It means less is flowing to labor mm-hmm And that's where you see that chart of the labor versus capital, and it's just blowing out. And obviously, that's just politically not sustainable. So it's like this weird thing where it's like, oh man, my 401k is doing good. It's like, yeah, but like, that's like eating away at the fabric of the country at the same time. So like, there's like a happy medium in between these two universities.

And it's, and it's further complicated by things like, you know, I, because of all of these factors, and please everybody let me finish the statement before you jump me in the middle of it. It's because of all those factors that I am far more sympathetic, if you will, for lack of a better term to so many of these really drastic minimum wage hikes. Here's the problem though, right? Let's get right back to it. The minute you raise minimum wage in an area, you have disproportionately impacted small and family owned businesses. Why? Because unlike other larger corporations, they're not going to spread that labor across 50 different states with 50 different minimum wages and come out with an effective lower labor costs than you do, right? So even those problems, even so many of these fixes, you know, we go to whack them all a problem, we forget that we're creating two more, you know, than we have. And it's just the lack of thinking about that and having to listen to these just over the hill dusted up corrupt and stupid politicians talk about these nonsensical fixes. Oh, just raise the minimum wage. Yeah, you're right. It's that simple, isn't it? You know what I mean? It just, it's maddening. And that's why I said it's not a political statement because if

you want to hear stupid economic takes, you don't have to be party affiliated to experience that.

Certainly not. All right. I got to leave in about two minutes. All right. Yeah. Get to what you want. You may keep going, but not really. Maybe not. I'll rip through a few things that I did want to mention. One, Meta has some new financing for a data center in El Paso through a special purpose vehicle. So won't show on the balance sheet. Here we go. I was waiting for this. Seven and a half percent yield. So these things this stuff and that's is a good bit a good bit worse than then what they did a few months ago So we've had Amazon and meta now Recently have a second round off of something they did earlier this year and then the demand is not there the pricing is worse so like That was interesting. How are they financing that? So it's special purpose vehicle where they is it like an LBO almost no, so It's like BlackRock or Blackstone comes in funds like 80% they do 20 It's a lease agreement. Their lease payments are like basically the underwriting for the whole thing. They can get out of it, but it's very expensive for them to get out of it. These guys' balance sheets are loaded with these SPVs now because they want to keep them off balance sheet, and they're very opaque. You don't have to give people all the details. You can just keep it a bunch of it between you and BlackRock or whatever. Blackstone, whoever the hell it is.

On a corporate structure basis, it makes total sense because if you everyone pulls up their little Bloomberg screen on the debt to debt ratios and stuff like it's ain't bad No Well, and if you can and if you can sell the debt and not and and you don't have to have it levered up I gotta go look at the details of the seven and a half But if they're not lean, I know but but if they're not leaning on if it's not leaning on their own balance sheet Well, I mean it is in real life like this interest expense is their interest expense You know what I mean? Oh, so they can't just wash their hands of the that's what I'm saying They can wash their hands with pain like it is okay from my understanding is it's it's not a chill break to get out of it Now they're not gonna have to you know burn down their own assets for it or whatever But like they won't own a pound of flesh, but they might own a few pints Yeah, it isn't it won't be nothing for them to walk away from this like blacks owner or whoever like they wouldn't They wouldn't sign up for this without it and seven half

percent You know, that's that's not what you expect from the creme de la creme of corporate America right now I actually thought of a couple of these guys do data centers I was surprised we hadn't heard anybody trying to like basically LBO one Like like make one and then turn around and and sell it to the public and do it debt financed Now they could do it a bunch different ways even even I mean you could even make them public entities People would buy it right now. I mean, you know what I mean Maybe I mean there's some of that but it's similar One other thing I wanted to mention was I talked about how oil experts who were coming down and they would come back up They're actually down 48% from the April highs So so US oil experts way down they're gonna go back up a lot next month because the spreads are blowing back out for WTI and Brent, but I didn't realize it was that much they had fallen but The last two things I mentioned kind of on the Rand stuff There was a report that came out US intelligence was assessing that the new supreme leader wants the nuke like way more than his dad Thought that was interesting for multiple reasons among many Sounds like good justification to do more right but um And the president did have a meeting today with you know the we'll call it the war cabinet about doing some big escalation stuff so It doesn't mean it'll happen or anything, but that meeting did happen. But with that, I'm out. Have a good weekend to you and the listeners. I'm off to a hot date with my wife. Yeah, you don't want to jeopardize that hanging out with me. Sure. Yeah, no. I mean, look, I'm a good time. But yeah, I think your wife is substantially more fun to be around. You have a good weekend too, pal. And that about does it for us too, guys. Things that we got to be watching for next week.

Watching the way earnings are going to roll in. Obviously keeping an eye on the straight. For those of you that have been in that fight on the oil side of it, I would strongly suggest taking some profits here. Still love owning it. Still don't understand the aversion to owning it. Some of the E&P plays too are still remarkably cheap and steady as she goes. So anyway, you guys know the drill. You can follow us on social media. I'm at KYR or KYR radio. Chase is at Pinecone Macro. Get the video feed on YouTube. Just search Know Your Risk podcast. Anyway, have a wonderful weekend. We'll see you guys on Monday. You're listening to Know Your Risk podcast. Download and subscribe at knowyourriskpodcast.com.